THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT

FORM ONE ANNUAL EXAMINATION
062 BOOK KEEPING

Time: 2½ Hours **November 2025**

Instructions

1. This paper consists of section **A**, **B** and **C** with a total of **nine** questions.
2. Answer **all** questions.
3. Section **A** carries **fifteen** marks; section **B forty** marks and section **C** carries **forty- five** marks.
4. All answers must be written in the spaces provided.
5. All communication devices, calculators and any unauthorized materials are not allowed in the examination room.
6. Write your assessment number at the top right corner of every page

FOR ASSESSORS' USE ONLY		
QUESTION NUMBER	**SCORE**	**ASSESSORS' INITIALS**
1.		
2.		
3.		
4.		
5.		
6.		
7.		
8.		
9.		
TOTAL		

SECTION A (15 MARKS)

1. For each of the items (i) – (x), choose the correct answer from among the given alternatives and write its letter beside the item number in the answer sheets(s) provided

(i) On 20th July, 2023, Shukuru, a sole trader, purchased a machinery for cash paying TZS 3,500,000/=. What would be a double entry for this transaction?

A. Debit: Cash account, Credit: Machinery account.
B. Debit: Purchases account, Credit: Machinery
C. Debit: Machinery account, Credit: Purchases account
D. Debit: Machinery Account, Credit: Bank account
E. Debit: Machinery account, Credit: Cash account

(ii) When a business entity paid rent of TZS 800,000/=. The payment was recorded in the books as follows. Debit: "Bank" TZS 800,000/= and Credit: Rent TZS 800,000/=. What entries will be posted to rectify this error?

A. Debit "Bank" TZS 800,000/= and credit "Rent" TZS 800,000/=
B. Debit "Rent" TZS 800,000/= and credit "Bank" TZS 800,00/=
C. Debit "Bank" TZS 800,000/= and Credit "Rent" TZS 1,600,000/=
D. Debit "Rent" TZS 1,600,000/= and credit "Bank" TZS 1,600,000/=
E. Debit "Bank" TZS 1,600,000/= and credit "Rent" TZS 1,600,000/=

(iii) How could a purchase of non- current assets by cheques affect the statement of financial position?

A. By decreasing non-current assets account and decreasing bank account
B. By increasing bank account and decreasing asset account
C. By increasing non-current asset account and decreasing cash account
D. By increasing cash account and decreasing asset account.
E. By increasing non-current asset account and decreasing bank account

(iv) Seypalm, a sole proprietor, took out cash amounting to TZS 30,000/= from his business for personal hospital bills. What would be a double entry transaction of this transaction?

A. Debit Cash account, Credit Hospital bills account.
B. Debit Drawings account, Credit Capital account.
C. Debit Cash account, Credit Capital account.
D. Debit Drawings, Credit Cash account.
E. Debit Hospital bills account, Credit Cash account

(v) Salim Art Creators is a registered company dealing with production and supply of the artistic works. During October 2022, it Purchased machinery for cash costing TZS 35,000,000/=. What will be a double entry for this transaction?

A. Debit Cash account, Credit Machinery account
B. Debit Purchases account, Credit Machinery
C. Debit machinery account, Credit Cash account
D. Debit Purchases account, Credit cash account
E. Debit purchases account, Credit machinery account

(vi) The purchases of typewriter on credit from Sylvester for resale should be recorded by:

A. Debit Typewriter Account, Credit Sylvester Account
B. Debit purchases Account, Credit Cash Account
C. Debit Purchases Account, Credit Sylvester Account

D. Debit Typewriter Account, Credit Cash Account
E. Debit Sylvester account, credit typewriter account

(vii) Mr. George Town is a trader, he sold one of his private car and used the amount to buy business car, then journal entries will be.
A. DR George Town A/C, CR Private Cars A/C
B. DR Private Car A/C, CR business Car A/C
C. DR Business Car A/C, CR Private Car A/C
D. DR Business Car A/C, CR Capital A/C
E. DR Capital A/C, CR Private Car A/C

(viii) If a business owner invests personal cash in the business, it will have the following effect:
A. Assets and liabilities increase.
B. Assets increase and liabilities decrease.
C. Assets and capital increase.
D. Assets decrease and capital increases
E. Assets increase capital and liability decrease.

(ix) At the beginning of accounting year, a club had TZS 14,000/= as non-current Assets, TZS 5,000/= as current Assets and TZS 5,000/= as liabilities. What would be its opening Capital?
A. TZS 4,000/=
B. TZS 14,000/=
C. TZS 12,000/=
D. TZS 24,000/=
E. TZS 10,000/=

(x) Your brother, Mr. Mchapakazi, presented you with the transaction, stating "Purchased goods on credit from Kudura store" for Tshs 340,000. Show the double-entry system as it would appear in the books of accounts.
A. Debit cash a/c, credit purchases
B. Debit purchases a/c, credit cash a/c
C. Debit Mr. Mchapakazi a/c credit purchases a/c
D. Debit purchases a/c, credit Kudura store a/c
E. Debit Kudura store a/c, credit purchases a/c

(i)	(ii)	(iii)	(iv)	(v)	(vi)	(vii)	(viii)	(ix)	(x)

2. Match the items in list A with the response in List B by writing the letter of the correct response beside the item number.

LIST A	LIST B
(i) Are ledgers containing supplies personal account?	A. General ledger
(ii) Are ledgers containing customer's personal account.	B. Private ledger
(iii) Are ledger containing real and nominal account.	C. Sales ledger
(iv) Are ledgers containing the capital and drawing accounts	D. Cash book
(v) Are ledgers containing cash account and bank account.	E. Purchase ledger
	F. Personal ledger
	G. Impersonal ledger

(i)	(ii)	(iii)	(iv)	(v)

SECTION B (40 MARKS)

3. Briefly explain five accounting guidelines or assumptions used in the preparation of books of account.

(i) _____

_____

(ii) _____

_____

(iii) _____

_____

(iv) _____

_____

(v) _____

_____

4. From the following mention the source document used to prepare the books of prime entry and their uses.

Type of book of prime entry	**Source document**	**Uses**
(i) Cash book		
(ii) Sales journal		
(iii) Return outward day book		
(iv) Sales return journal		
(v) Purchases day book		

5. Chimwaga had the following properties and claims for the business on the month of July 2021.

Business buildings	350,000
Account payable for the business	84,000
Furniture	100,000
Debtors for goods	30,000
Available balance in the bank	90,000
Cash balance	20,000
Motorcycle	150,000
Chimwaga's loan from Finca for business	220,000
Computer for his office	180,000
Small van for business	400,000

Required: prepare journal proper and ascertain the amount of capital his business.

6. The following list of balances was extracted from the books of **Simon and sons Ltd**. At 31st December, 2023. You are required to prepare Trial balance as at that date.

Purchases	15, 740/=
Sales	32, 830/=
Stock (1st Jan. 2023)	3,790/=
Stock (31st Dec. 12023)	3,030/=
Returns inwards	120/=
Returns outwards	310/=
Commission received	7170
Carriage inwards	50/=
Carriage outwards	140/=
Drawings	7,360/=

Premises	38,000/=
Fixtures and fittings	10,500/=
Wages and salaries	9,310/=
Rent received	540/=
Advertising	1,180/=
Cash at Bank	2,010/=
Cash in hand	60/=
Debtors	2,240/=
Creditor	1,870/=
Capital	54,950/=
Machinery	7170/=

SECTION C (45 MARKS)

7. Prince, a wholesaler, made the following sales during the month of April 2021:

April 1. Sold goods to Junior:

10 dozen of vitenge at TZS 8,000 a dozen

25 dozen of khanga at TZS 10,000 dozen

April 5. Sold goods to Mercy:

100 pairs of shoes at TZS 2,000 a pair.

200 pairs of boots at TZS 3,000 a pair

April 12. Sold goods to Baraka:

100 dozens of exercise books at TZS 3,000 a dozen

200 reams of papers at TZS 1,500 each.

April 15: Sold goods worth TZS 5,000 to Neema

April 22: Sold goods to Star Book store:

200 advanced leaner's dictionaries at TZS 2,500 each.

800 fiction books at TZS 500 each.

Record the given transactions in the sales day book for the month of April 2021, and post to the general ledger.

8. The following list of balances was extracted from the books of Sina Hela and sons ltd at 31st December 2012. you're required to prepare the income statements and financial position for the year ended 31st December 2012.

Purchases	157,000
Sales	328,300
Stock (1stjan 2012)	37,900
Returns inwards	1,200
Returns outward	3,100
Carriage inwards	500
Rent received	5,400
Carriage outwards	1,400
Rent received	5,400
Carriage outwards	1,400
Drawings	73,600
Premises	380,000
Fixture and Fittings	105,000
Wages and salaries	93,100
Advertising	11,800
Cash at bank	20,100
Cash at hand	600
Debtors	22,400
Creditors	18,700
Capital	549,500
Stock (31st December 2012)	30,300

9. Khairunisah commenced business on 1st January 2021 with capital in cash TSH 200000. Her transactions during January were as follow:

January 1. Purchased goods from Naureen Rabia on credit 40,000
2. Sold goods on credit to Shilla 10,000
3. Paid rent 60,000
4. Cash purchases 16,000
6. Paid postage charge 1,000
8. Drawn cash for private use 5,000
13. Purchased goods on credit from Morembwa 50,000
16. Sold goods on credit to Mkwizu 36,000
17. Paid salaries 9,600
18. Cash sale to date 6,000
19. Paid adverting expenses 7,000
22. Cash purchases 18,000
24. Bought furniture for cash 10,000
27. Purchased machinery for cash 60,000
28. Paid wages 16,000

Required; Open all necessary ledgers and balance off cash account.